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Executive summary

- **(Unfortunately) no imbalance was harmed in the making of the post-pandemic trade rebound: Europe's deficit with China doubled and its surplus to the US increased by +34%.** Since the pandemic, the trade surplus of Europe's top 10 economies expanded to EUR354bn (+18%), but: (i) the deficit with China doubled to –EUR300bn and now spans 400 critical import dependencies representing one-third of total imports (electronics, machinery and transition technologies) and (ii) the surplus with the US increased by +34% to EUR127bn and US reliance on critical European imports increased to around 200 products in 2024 (USD89bn; 14%), particularly in chemicals and pharmaceuticals.

- **In line with the European Commission's competitiveness agenda, trade policy needs to be reframed as an instrument of economic security and geopolitical leverage. We identify a two-pronged approach: First, Europe must build cost-effective supply resilience, avoid the 'whatever-it-costs' sovereignty trap and focus on high-return investments.** Cutting external reliance in manufacturing – still four-fifths of EU goods exports – requires further diversification of production footprints, nearshoring critical stages and addressing supply-chain redundancy. Despite progress in lower-value goods where extra-EU import shares have fallen below 50%, dependence still exceeds 50% in semiconductors, phones and laptops, with persistent capacity gaps in d
earth recycling currently covers j
25% by 2030 would require proc
imports from China. Absorbing lo
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Mercosur and India deals could jointly absorb USD46.1bn in export gains. Expanding the corridor to ASEAN would add a further USD16.7bn, while deeper integration with CPTPP markets could unlock close to USD65bn in export gains. Embedding autonomy will also require localization strategies, expanded euro trade invoicing and logistics sovereignty across shipping, ports and cargo aviation – securing supply, demand and infrastructure simultaneously. Finally, strengthening intra-EU trade is the fastest internal shock absorber. Since the pandemic, export absorption within the bloc has stalled at 61% of the total, while intra-EU import sourcing has inched up only marginally from 61% to 62%, pointing to limited internal rebalancing. Lifting intra-EU trade by just +1.4pp to +1.8pp would be enough to offset the impact of a 10% US tariff, underscoring how marginal gains in Single Market integration can materially cushion external export losses.

A tilting trade geometry: Europe between dependency and demand

The global economic landscape is undergoing a profound transformation from a rules-based order to a competitive, power-driven system. Securonomics is emerging, with more and more states prioritizing national wealth and security over unfettered globalization. One of the key features of this new paradigm shift is the return of proxy wars as countries reassert control to safeguard their stra
era of deep globalization, fragmentatio
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interplay of power and economics.

**Recent discussions at the World Econo
Conference highlight a growing Europ
geopolitical influence go hand in hand**
Chancellor Friedrich Merz and Preside

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Europe's trade map is tilting. China is becoming the bloc's structural deficit pole, while the US is consolidating its role as surplus counterweight. The overall surplus may still be expanding, but the underlying geometry is stretching and with it, Europe's exposure to geopolitical risk, supply disruption and industrial dependency. Between 2019 and 2024, the external trade engine of the EU's 10 largest economies did not stall, but it started running on two very different cylinders. Headline resilience masks a growing fracture line in bilateral trade. The aggregate world trade surplus expanded from EUR299bn to EUR354bn (+18%), yet this strength rests on an increasingly unbalanced foundation: a ballooning deficit with China set against a deepening surplus with the US, leaving Europe increasing vulnerable to critical supply from China, on one hand, and on the other, higher protectionism and tariffs from the US.

Nowhere is the shift more striking than with China. The EU-10 deficit almost doubled in five years, widening from –EUR156bn to close to –EUR300bn. Germany alone saw its deficit surge nearly fivefold to –EUR67bn, while France, Italy, Spain and Poland all posted double-digit billion deteriorations. Part of this deficit widening is explained by the fact that Europe's reliance on Chinese manufacturing is rising: The number of products where the EU27 presents a critical dependency on China has increased from 253 in 2016 (worth USD110bn) to nearly 400 in 2024 (worth USD184bn). They represented on average 6% of EU27's imports in 2015-2019 and 7% in 2020-2024. One-third of the EU27's imports from China are now critical dependencies, compared to c.30% ten years ago, with the rise mainly due to goods in the electronics and electrical equipment sector (see Figure 1a). Meanwhile, though the share of Chinese imports from the EU27 that are critical dependencies increased to around 13% compared with 6% ten years ago (mostly driven by chemicals, see Figure 1b), they continue
the number of products concerned has
sage is clear: Europe's industrial core is
from electronics to machinery to transit
longer creeping; it is accelerating.

Across the Atlantic, the EU-10 surplus
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Europe's external shock absorber, offsetting deficits building elsewhere.

The EU's trade geography is becoming slightly more inward-looking but not necessarily more dominant. Since the pandemic, the share of exports absorbed within the EU has stagnated at 61% of total, while the share of imports sourced from within the bloc edged up only marginally from 61% to 62%. But beyond this apparent stability lies erosion. Several export powerhouses, including Romania (-6.4pps), Denmark (-2.1pps) and Slovenia (-2.0pps), have lost intra-EU export share, signaling intensifying competition both at home and abroad. On the import side (excluding energy), the core six EU countries in terms of trade (Belgium, France, Germany, Italy, Netherlands and Spain), saw a rising reliance on China and a few other partners in Asia (e.g. South Korea and India) between 2016 and 2024, but also a higher share of imports coming from Poland. More precisely, the reliance on China has risen in each of the largest import sectors (except for textiles), while Poland is the only European import source that is gaining ground in multiple sectors (agrifood, machinery, electronics and electrical equipment, automotive, metals and transport equipment). Other central and eastern European peers that have become larger providers for the EU core in certain sectors between 2016 and 2024 include Hungary (in electronics and electrical equipment), Czechia (in automotive) and Romania (in automotive). Looking at Asian providers beyond China, South Korea (in transport equipment and chemicals) and India (in electronics and electrical equipment, metals and chemicals) have gained ground, while a number of south and southeast Asian countries (Vietnam, Bangladesh, Cambodia, Pakistan Myanmar) have raised their textiles footprint in the EU core, at the expense of other European countries (the UK, Romania, Portugal and Czechia). In parallel, the core six EU countries' imports from Germany, France, the Netherlands, the UK, Japan and the US particularly saw
six countries particularly lost ground in
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in most of the largest import sectors (e

Strengthening E
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gistics buffers to absorb price and demand shocks, while technology exporters – facing concentrated semiconductor ecosystems and captive supply chains – need to accelerate regionalization and diversify end-markets to reduce single-country dependence. Safeguarding Europe's export engine therefore requires structurally embedding flexibility, geographic spread and shock-absorption capacity across sectors.

However, cutting external reliance is structurally more complex in high value-added industries. Successive supply-chain disruptions – from the 2020 pandemic shock to the Ukraine war and semiconductor shortages in 2022 – exposed Europe's overdependence on single suppliers. Diversification has advanced fastest in lower-value segments: Extra-EU import shares for goods such as apparel, footwear, toys and furniture have fallen below 50% as sourcing shifted toward Eastern and Southern Europe and, increasingly, African partners. Strategic sectors tell a different story. Defense autonomy is progressing across weapons systems, radar technologies and UAVs, yet limited domestic production capacity and slow infrastructure deployment still require reliance on foreign platforms, including armored equipment. Consumer electronics reveal a similar duality: External dependence is lower for household appliances and TVs but remains above 50% for phones, laptops and semiconductors – reflecting years of underinvestment, misallocated capital toward automotive chips and captive supply chains dominated by a handful of global players. The same gap is visible in batteries, where domestic capacity lags decarbonization ambitions. Policy support is beginning to shift the trajectory – solar import reliance has already fallen by around –8% on the back of feed-in tariffs, grants and accelerated depreciation – but diversification gains will take time and require tighter EU-level coordination on industrial priorities and trade frameworks.

Even where reshoring is feasible, defer
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Simulations of substituting Chinese im
European production show minimal in

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CEE labor markets look loose, but they're not. Manufacturing capacity utilization remains 2–6pp below 2019 levels and unemployment sits slightly above pre-pandemic rates, yet both indicators are still historically tight (Figure 5). Beveridge curve shifts reinforce this picture, signaling deteriorating matching efficiency and shrinking workforces (Figure 6). In practice, the region has limited room to expand output without significant cross-sector reallocation. As a result, adjustment pressures would concentrate in these recipient economies. Tighter labor markets could lift inflation by +0.3pp to +0.7pp, and by up to +1.5pp in extreme cases, as capacity constraints emerge. Scaling nearshoring successfully will therefore require automation, skills upgrading, and greater labor mobility rather than capital alone.

Absorbing large-scale nearshoring requires higher investment, and Chinese capital in particular is already filling part of the gap. Chinese FDI into the EU reached EUR10bn in 2024 (+47% y/y), with greenfield projects heavily concentrated in Central and Eastern Europe – Hungary alone captured roughly one-third. While this capital expands industrial capacity and alleviates labor shortages, it also embeds strategic risk, as projects remain focused on assembly activities with limited technology transfer. Capacity expansion may therefore solve production constraints while reinforcing supply-chain dependence.

Europe's trade autonomy will not be built by retreating from globalization, but by rewiring its operating system. On the import side, resilience requires a structural shift from cost-minimization to risk-adjusted sourcing: diversifying critical inputs across multiple geographies, scaling domestic extraction and, more critically, processing capacity in minerals where import dependence often exceeds 70–90%, as well as anchoring friend-shoring corridors through targeted FTA
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rewire global supply chains around a Europe–Indo-Pacific production axis.

On the export side, autonomy means de-risking demand concentration. With the US and China together absorbing nearly one-third of extra-EU exports, diversification is becoming macro-critical for an export engine that underpins >40% of EU GDP and ~25mn jobs. Brussels is therefore accelerating trade architecture with high-growth markets, India, Southeast Asia and Mercosur, to rebalance exposure. The EU-Mercosur agreement alone could lift exports by USD27bn annually and add +0.1pp to GDP, offsetting roughly one-third of projected US-related trade losses. Broader tariff elimination with Japan, Canada and ASEAN would generate additional upside, while accession to a CPTPP-style framework, potentially including the UK, could unlock USD64.8bn in exports and +0.3pp GDP, compensating for more than 80% of US export losses. Even smaller accords, such as EU-Australia, carry strategic weight given raw-materials access.

Operationally, Europe's exporters will also need deeper market embedding. Localization-for-access strategies, establishing regional assembly and servicing hubs, can lock in demand where local content rules are tightening. Financial and monetary levers matter too: expanding euro-denominated trade invoicing in commodities and aerospace would reduce FX exposure and strengthen financial sovereignty. Finally, autonomy has a physical backbone, requiring logistics sovereignty through scaled EU-controlled shipping capacity, port infrastructure and cargo aviation.

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